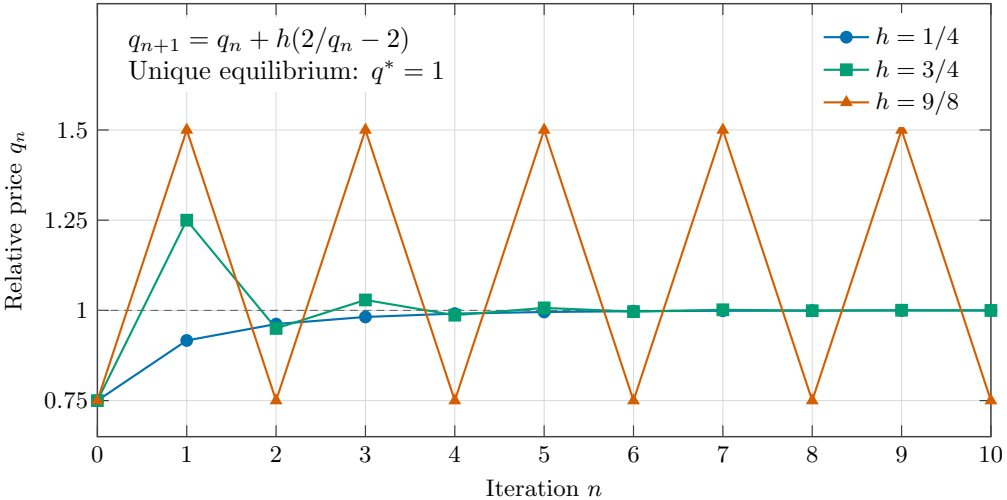

$q_{n+1} = q_n + h(2/q_n - 2)$
Unique equilibrium: $q^* = 1$
$h = 1/4$
$h = 3/4$
$h = 9/8$
Relative price q_n
1.5
1.25
1
0.75
0
1
2
3
4
5
6
7
8
9
10
Iteration n